

ELECTRIC REVOLUTION

Rising fuel prices turn bikers to cost-effective electric machines but concerns of charging stations, safety and lead pollution keep the brakes on

VIKRAM SHARMA



CHARGED UP: A customer choosing his bike at Go Green showroom in Delhi

A year ago, curiosity got the better of Ram Karan Singhal, 53, who had heard so much about E2Vs or electric two-wheelers that he decided to get himself a Hero Electric. Today, the Delhi-based advocate, who covers 55-60 km to work and back on the bike everyday, is so happy with the machine that he has bought two more E2Vs for his family, reserving his car only for special outings. "E2Vs are cost-efficient and require no kick-starting," says Singhal, adding that he charges his bike habitually every night, "almost like a mobile phone".

In Dehradun, Reshu Dora, a 28-year-old teacher, zips around on her Accura E2V, going to school or taking her family out. The Rs 1,200-1,500 a month she used to shell out on petrol for her earlier scooter has now been channelled into shopping. "Fuel saving apart, even the upfront cost of these bikes is cheaper," she gushes.

With more and more people singing praises of E2Vs, it is no surprise that the market for electric bikes has grown to 1.5 lakh units, a figure that the Society of Manufacturers of Electric Vehicles (SMEV) estimates to go up to 2.5 lakh this year. Vinod Gupta, director of Go Green, a Hero Electric dealer in Delhi, says he has sold 500 bikes in the last three months—five times more than last year.

Putting manufacturers and importers together means there are around 88 brands of E2Vs in the market. Major players include Hero Electric, Ultra Motors, Electrotherm (Yo Bykes) and Eko Vehicles, which have an 80 per cent marketshare nationwide. Newer entrants include the TVS Group, TI Cycles, Avon Cycles, Paradise, Lectrix (Luminous), Lohia Group, Ace, while Mahindra & Mahindra is gearing up for its E2V launch.

The rising popularity of E2Vs is not

difficult to understand. An E2V costs about Rs 30,000 compared to a regular petrol bike which starts at Rs 40,000. Electric bikes also accord significant savings in fuel and maintenance. The running cost of a petrol bike is Re 1/km while that of an E2V is Re 0.5-0.10. Moreover, if a petrol vehicle costs Rs 1,500-2,000 a quarter to maintain, an E2V requires a basic wash that costs Rs 200, no lubricants, no spark plugs and no moving parts. Operational costs are paid monthly through electricity bills and when batteries are replaced, normally every two years.

Yet players like Accura who assemble products here have it harder compared to those importing full bikes. The bikes come from China or Taiwan, although some parts like the tyres and chassis are locally sourced. At present, China is the largest market for electric two-wheelers, with 20 million sold last year. An imported vehicle attracts no CVD or excise duty, whereas duty on components for semi knocked-down vehicles is 17 per cent with no MODVAT benefit. "We have been urging the government to change this," says Sohinder Gill, CEO, Hero Motors and president of SMEV, "as it will discourage production."

Besides duty, there are quality issues too. Around 20 per cent of the bikes tested, says an official of the International Centre for Automotive Technology, Gurgaon, are rejected as they do not meet standards which exclude safety norms. Companies are also facing the challenge of increasing range—currently 60-80 km per charge—of the vehicles. Deba Ghoshal, director-marketing, Ultra Motors, says they hope to change over to lithium-ion batteries which could virtually double the range. But given the price difference in the two batteries—almost double—consumers will have to wait a while till volumes kick in.

There are, of course, other areas of concern like inadequate infrastructure or charging stations, lead pollution and battery disposal and safety issues. Manufacturers are also pressing the Government to subsidise technology so they can circumvent high costs. The E2V has hit the road in a big way. But the journey is not without its challenges.

by Nandini Vaish